

make certain assumptions and then test them mathematically, to see whether or not a correlation exists between changes in the variables of earnings, dividends, and assets, and habit of mind on the one hand, and prices on the other, and, if such correlation is found to exist, whether the coefficient is so high as to be beyond the possibility of explanation by pure chance.

If a statistician were to correlate earnings, dividends, assets, and last year's average price of a given stock (last year's average price is the specific way of expressing "habit of mind"), he could do so through a computation known as a multiple variable correlation analysis. The Value Line rating, about which the reader may have heard, is a single line which expresses that correlation. In that line is expressed the price that the market over a 20-year span has placed on earnings, assets, and dividends at the various levels of experience, most of the time.

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*What we wish to know is what will be the opinion, expressed in price, of all the buyers and sellers participating in a free market, most of the time.*

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If through such a correlation over a period of 20 years the market can determine the specific weights to be assigned to each variable, then one could with reason determine what the future value of a stock will be in terms of market price, provided only that the future earnings and dividends and assets of that stock could be forecast with reasonable accuracy. It cannot be said with certainty that the future price will accord with the normal capitalization of earnings and assets as determined by the 20-year experience. But it can be said that the probability that the future price will conform to the long term sense of value is so high